EXECUTIVE COMPENSATION BENCHMARKING

Canadian Big Six Banks: CEO Compensation Benchmarking

Fiscal 2025 | Pay levels, pay mix and incentive design

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Independent analysis | August 2026

Based on the 2026 management proxy circulars and voting results of RBC, TD, Scotiabank, BMO, National Bank and CIBC.

EXECUTIVE SUMMARY

Big Six CEO pay tracks scale, target resets drive the biggest changes, and discretion differs widely

1.52×

PAY LEVEL VS. SCALE

RBC's CEO earns the most ($22.1M TDC, 1.52× the $14.6M median) but ranks second-lowest on pay per $1B of adjusted net income ($1.08M). National Bank is highest on that measure (~2.7× RBC).

+60.5%

WHAT DRIVES YEAR-OVER-YEAR CHANGE

BMO's CEO pay rose 60.5%, largely because target pay was reset to $15.0M from May 1, 2025, not performance alone. RBC is −9.5% as reported but +8.2% excluding a $4.0M FY2024 special award.

0% RSUs

DESIGN CONVERGES, DISCRETION DIVERGES

All six deliver CEO LTI only through PSUs and options (59% of TSX60 companies use RSUs*); at-risk pay is 91–94% of TDC. Yet annual incentives range from fully formulaic (BMO) to non-formulaic (RBC).

So what for compensation committees: benchmark pay against scale, not peer rank alone; separate target resets from performance; and document how discretion is applied.

**Laulima Consulting, TSX60 Research – Executive Pay Insights (June 2026). TDC = salary + annual incentive + share-based + option-based awards.*

Source: Company 2026 management proxy circulars (FY2025 data) and 2026 voting results; author analysis. All amounts CAD.

SCOPE & METHODOLOGY

Six banks, one consistent definition: actual TDC from each bank's FY2025 Summary Compensation Table

Population
FY2025 CEOs of Canada's six largest banks; fiscal year ended October 31, 2025.

Pay definition
Actual TDC = salary + annual incentive + share-based awards + option-based awards. Excludes pension and other compensation.

Scale measure
CEO TDC per $1B of FY2025 adjusted net income.

Year-over-year
Same incumbent only; shown both as reported and excluding disclosed special awards.

Validation
Every figure traced to a printed page; all SCT rows reconcile to disclosed totals.

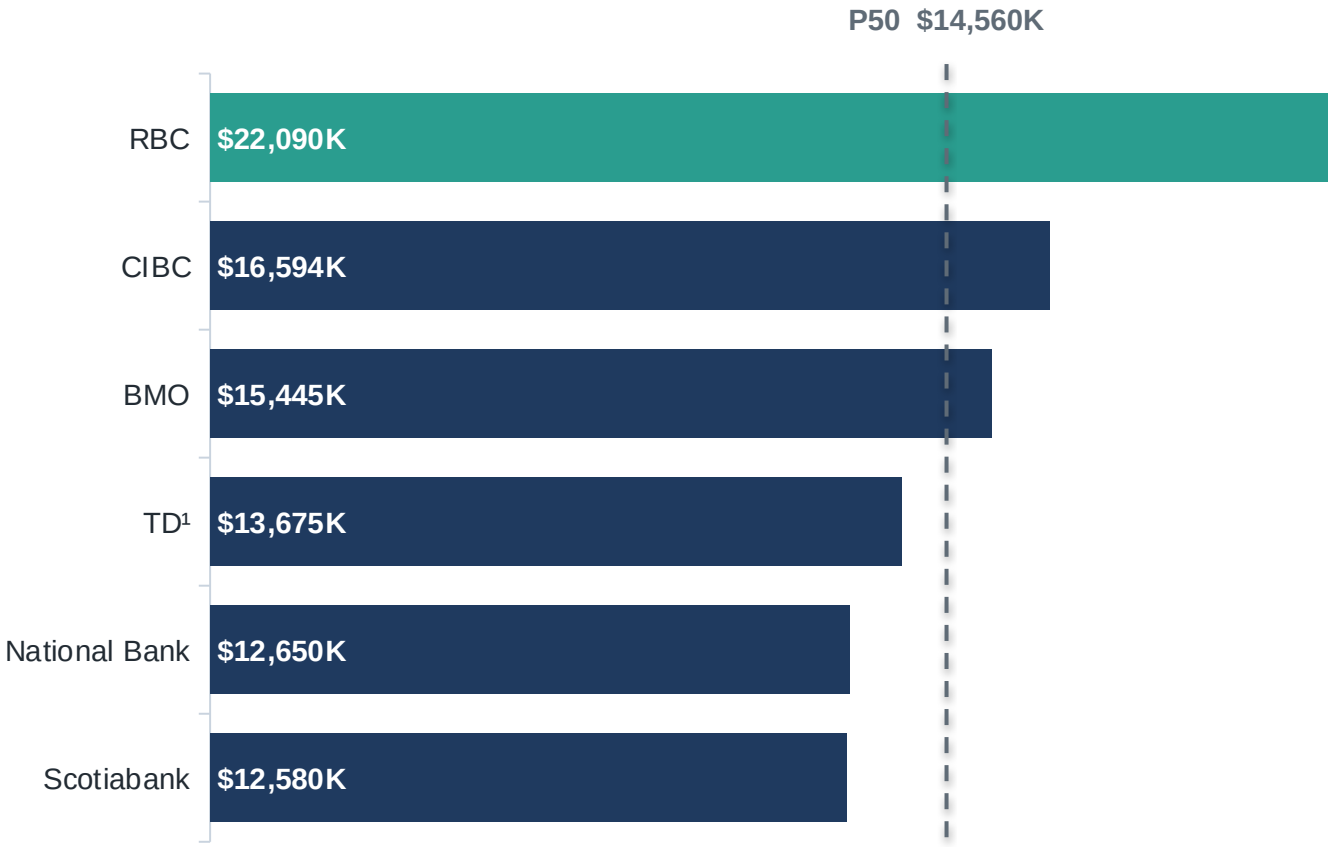
Bank	CEO (FY2025)	Months as CEO	Adj. net income ($M)
RBC	Dave McKay	12	20,369
TD	Raymond Chun	9[1]	15,025
Scotiabank	Scott Thomson	12	9,510
BMO	Darryl White	12	9,248
CIBC	Victor Dodig	12	8,487
National Bank	Laurent Ferreira	12	4,314[2]

[1] Appointed CEO February 1, 2025; FY2025 pay is a blended transition year. [2] Adjusted net income attributable to shareholders.

Source: Company 2026 management proxy circulars (FY2025 data) and 2026 voting results; author analysis. All amounts CAD.

CEO PAY LEVELS

RBC's CEO earned $22.1M in FY2025, 1.52× the peer median and 33% above the next-highest bank



$14.6M
Peer median (P50) actual TDC

1.52×
RBC vs. peer median

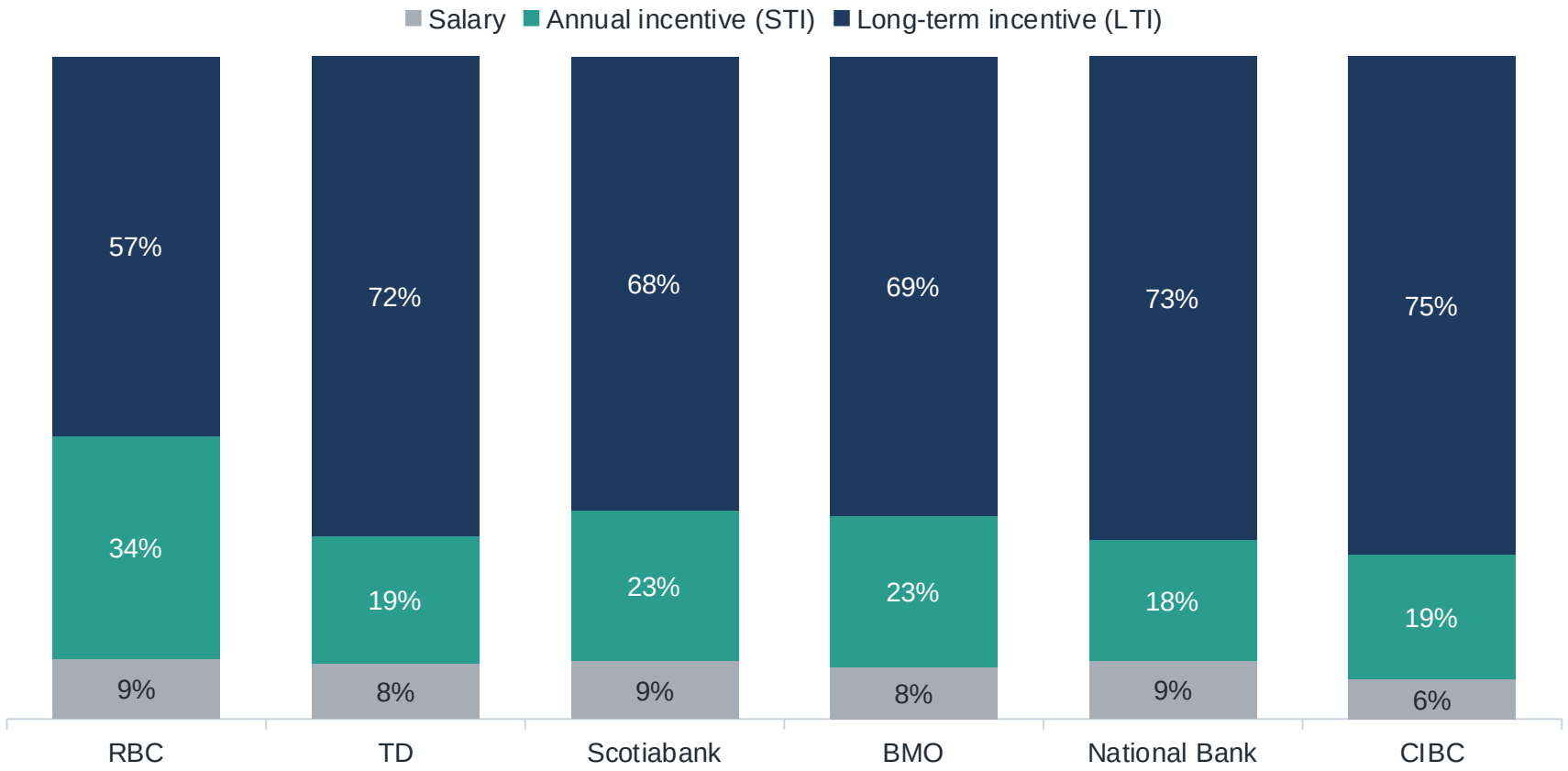
76%
RBC above the lowest-paid CEO (Scotiabank, $12.6M)

¹ TD CEO served 9 of 12 months; annualized target TDC is $12.0M. P50 = midpoint of the 3rd and 4th banks (BMO and TD).

Source: Company 2026 management proxy circulars (FY2025 data) and 2026 voting results; author analysis. All amounts CAD.

PAY MIX

At-risk pay is 91–94% of TDC at every bank; RBC leans most on the annual cash incentive (34%)



At-risk share of TDC

CIBC 94%
BMO 92%
TD 92%
Scotiabank 91%
National Bank 91%
RBC 91%

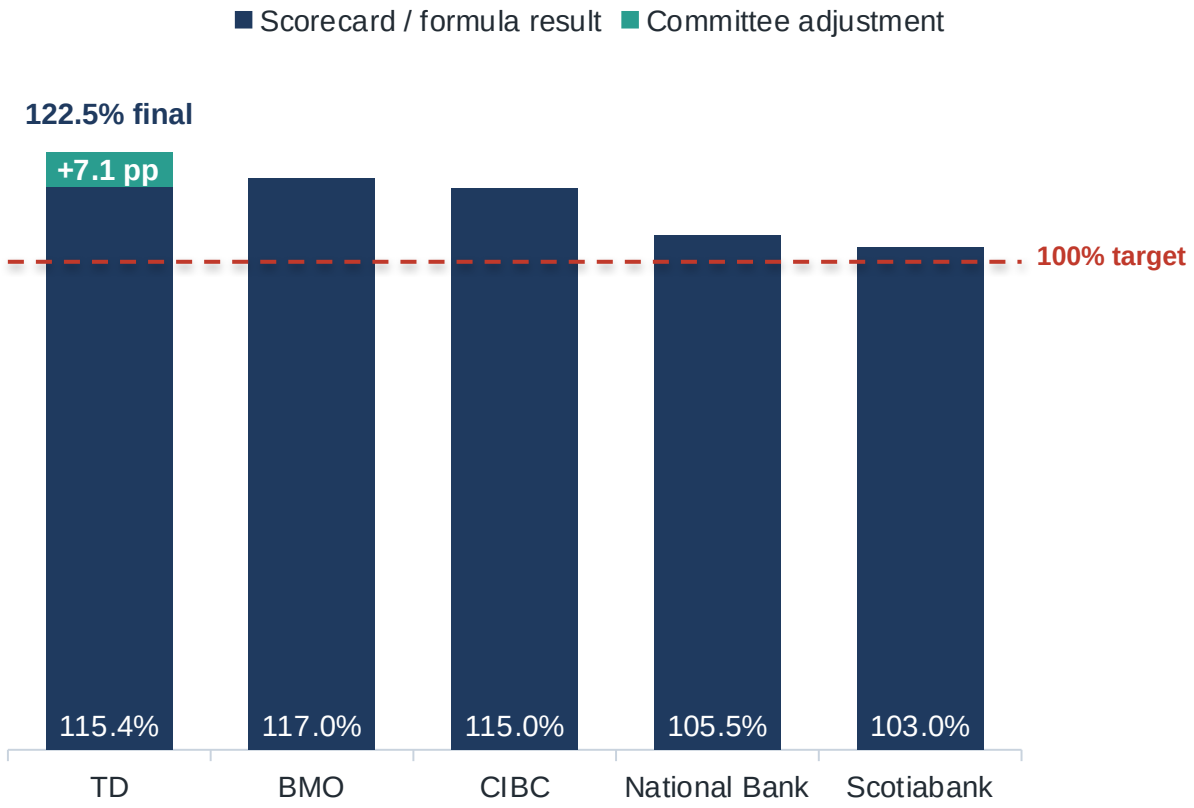
Salary is under 10% of TDC at all six banks.

At-risk = annual incentive + long-term incentive. Shares of actual FY2025 TDC; may not sum to 100% due to rounding.

Source: Company 2026 management proxy circulars (FY2025 data) and 2026 voting results; author analysis. All amounts CAD.

ANNUAL INCENTIVE OUTCOMES

All five formula-based banks paid above target; TD's 122.5% includes a +7.1 pp committee adjustment



Bank	How the CEO's annual incentive is decided
BMO	Fully formulaic scorecard; 0 pp discretion
National Bank	Three equally weighted metrics
CIBC	50% bank factor / 50% individual
Scotiabank	Bank factor (103%) + individual factor (140%)
TD	Scorecard 115.4% + committee +7.1 pp
RBC	Non-formulaic; Board judgment (award 186% of target)

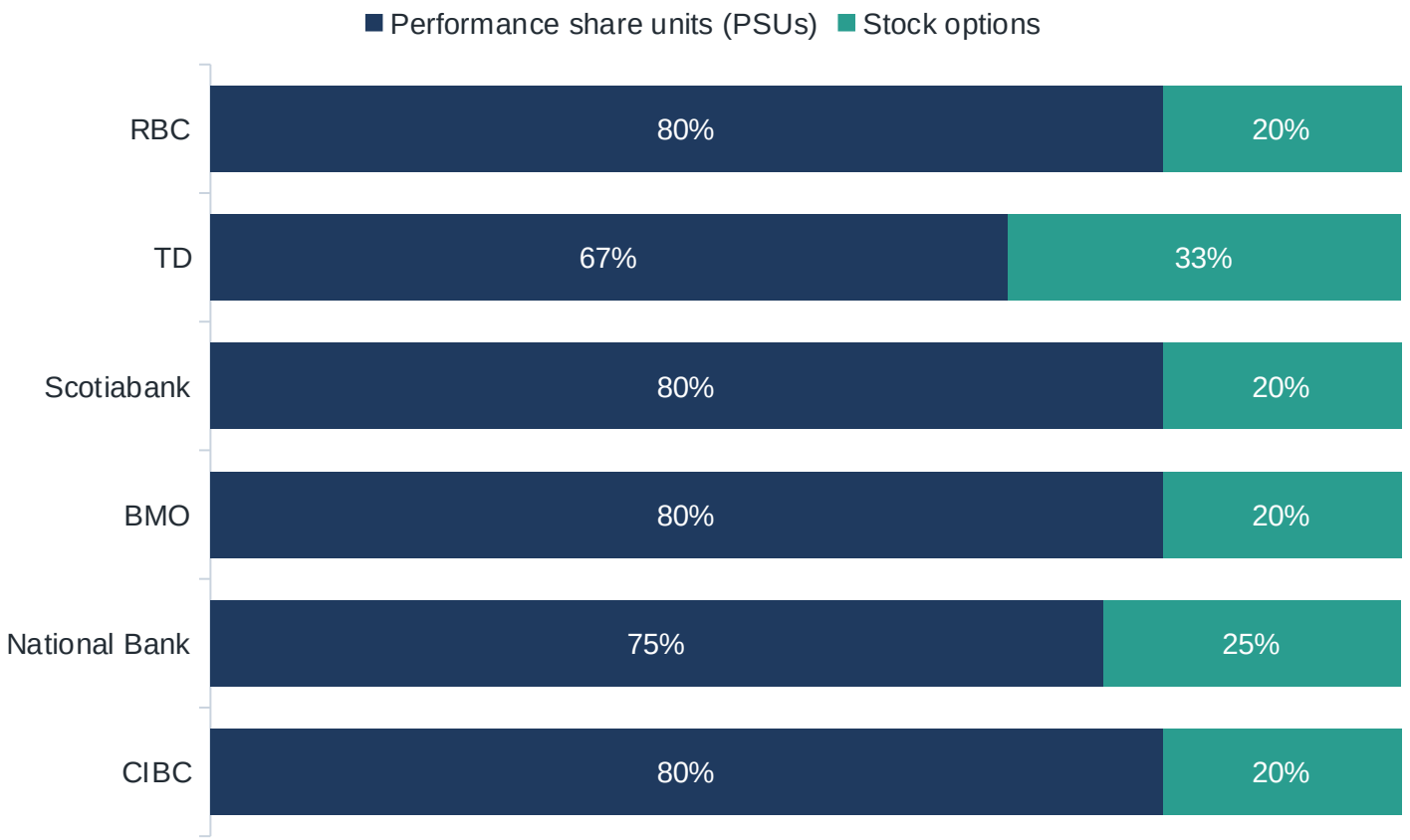
Ordered from most formulaic to most discretionary.

Bars show the final bank-level performance factor that funds annual incentives. RBC has no single bank-level factor and is excluded from the chart.

Source: Company 2026 management proxy circulars (FY2025 data) and 2026 voting results; author analysis. All amounts CAD.

LONG-TERM INCENTIVE DESIGN

All six banks grant CEO LTI only as PSUs and stock options; 59% of TSX60 companies use RSUs



Companies using RSUs

0%

Big Six banks
(0 of 6, CEO LTI)

59%

TSX60 companies*

PSU payout design differs:

Modifier on award: RBC (±25%), TD (±25%), BMO (±20%)

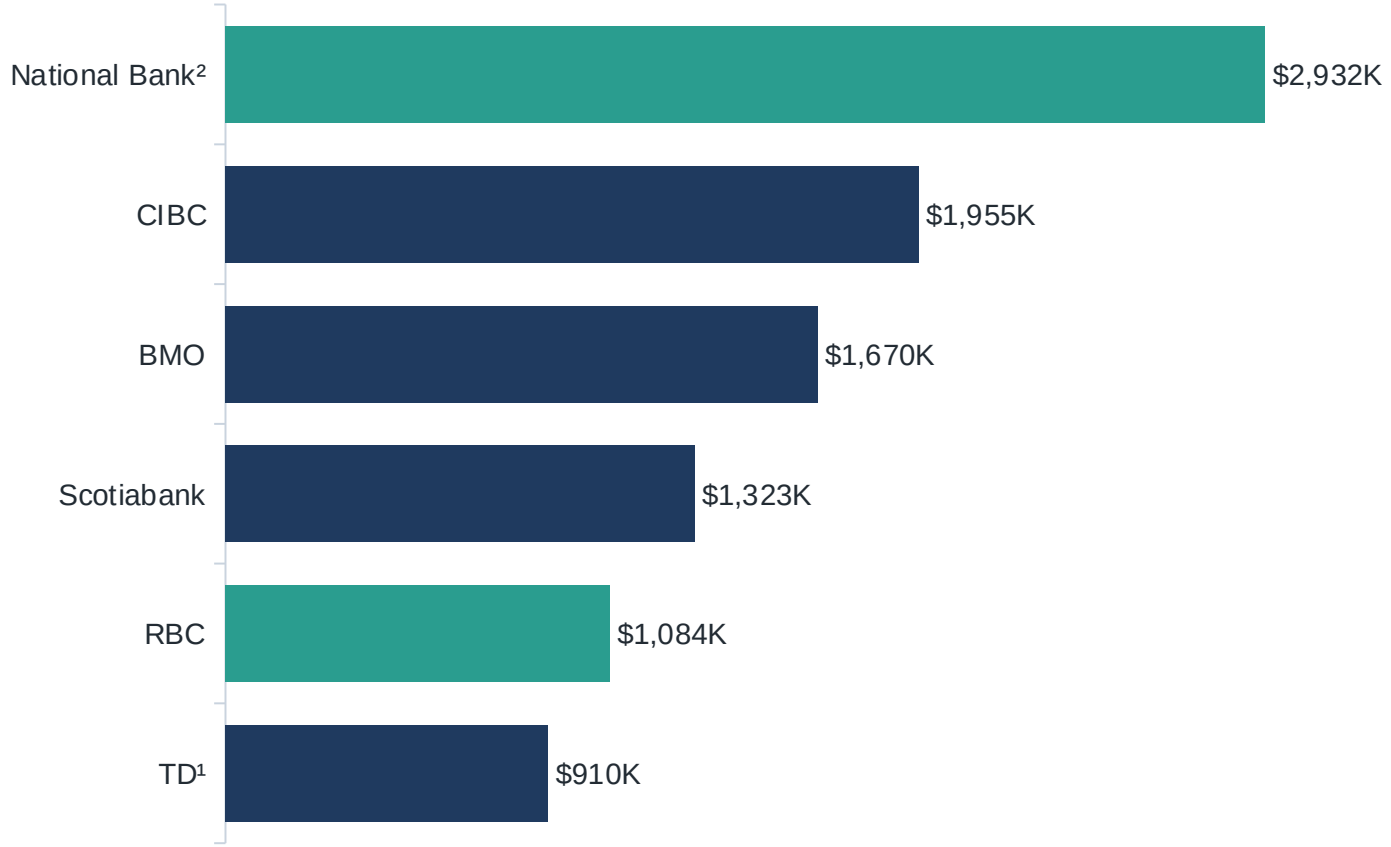
Threshold-to-maximum: National Bank (0–200%), CIBC (75–125%), Scotiabank (two-step)

**Laulima Consulting, TSX60 Research – Executive Pay Insights (June 2026): PSUs used by 86% and RSUs by 59% of TSX60 companies. BMO PSU share is 80.3%.*

Source: Company 2026 management proxy circulars (FY2025 data) and 2026 voting results; author analysis. All amounts CAD.

PAY LEVEL VS. SCALE

Relative to earnings, RBC's CEO pay is second-lowest; National Bank's is ~2.7× RBC's



Bank	TDC rank	Earnings rank	Pay / $1B rank
RBC	1	1	5
CIBC	2	5	2
BMO	3	4	3
TD	4	2	6
National Bank	5	6	1
Scotiabank	6	3	4

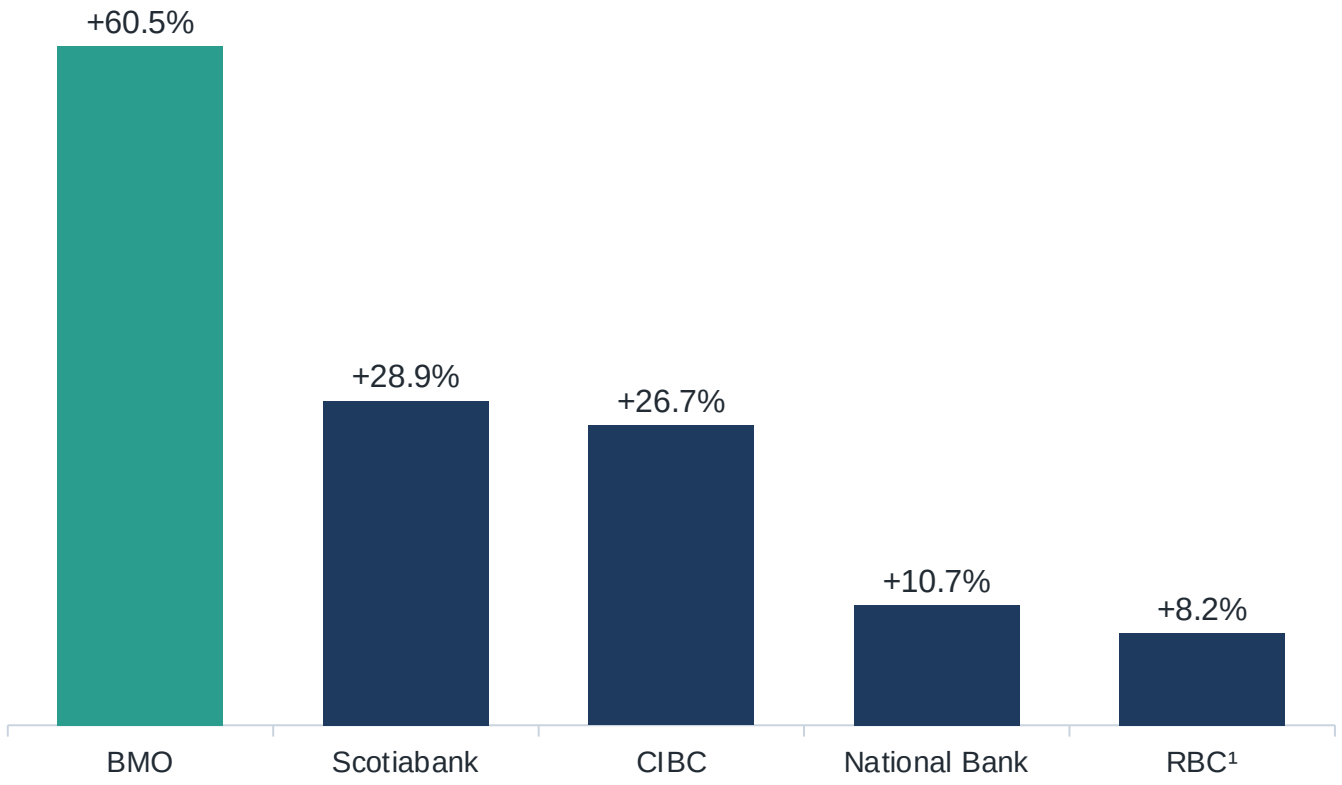
Absolute pay ranks track bank size; normalized for earnings, the ranking largely inverts.

¹ TD CEO served 9 months; ratio understated. ² Adjusted net income attributable to shareholders. Ranks: 1 = highest. Ratio = TDC ($000) ÷ adjusted net income ($B).

Source: Company 2026 management proxy circulars (FY2025 data) and 2026 voting results; author analysis. All amounts CAD.

YEAR-OVER-YEAR CHANGE

BMO's +60.5% stands out, driven largely by a deliberate reset of target pay rather than performance alone



BMO: a target-pay reset

Annual target TDC raised to $15.0M effective May 1, 2025, to improve competitiveness with North American peers.

Prior target ≈ $11.75M (inferred from the $13.375M blended FY2025 target).

Shareholders still approved

Say-on-Pay support of 95.0%–97.1% at all six banks in 2026 (RBC highest at 97.1%; TD lowest at 95.0%).

¹ RBC excludes a $4.0M FY2024 special award (HSBC Canada integration); as reported, RBC is −9.5%. TD is not shown: its CEO was appointed February 1, 2025.

Source: Company 2026 management proxy circulars (FY2025 data) and 2026 voting results; author analysis. All amounts CAD.

IMPLICATIONS FOR COMPENSATION COMMITTEES

Three questions a compensation committee should ask, one for each finding

1

Is our CEO's pay positioning justified by our scale and complexity, not just peer rank?

Finding 1: absolute pay ranks follow bank size, but pay per $1B of earnings ranges from $0.9M to $2.9M.

2

How much of this year's pay change is performance versus a deliberate change in pay opportunity, and have we explained that to shareholders?

Finding 2: BMO's +60.5% reflects a target reset; RBC's change flips sign once a special award is removed.

3

When we apply discretion, is it applied consistently in both directions and tied to documented criteria?

Finding 3: plan design is near-identical across banks, but the role of judgment ranges from 0 pp (BMO) to fully discretionary (RBC).

Source: Company 2026 management proxy circulars (FY2025 data) and 2026 voting results; author analysis. All amounts CAD.

APPENDIX A1

FY2025 CEO compensation data ($000 unless noted)

Bank	CEO	Salary	Annual incentive	Share-based	Option-based	Actual TDC	Adj. NI ($M)	Bank factor	Say-on-Pay
RBC	D. McKay	2,000	7,440	10,120	2,530	22,090	20,369	N/A	97.1%
TD	R. Chun[1]	1,151	2,630	6,630	3,265	13,675	15,025	122.5%	95.0%
Scotiabank	S. Thomson	1,100	2,870	6,888	1,722	12,580	9,510	103.0%	95.9%
BMO	D. White	1,200	3,539	8,600	2,106	15,445	9,248	117.0%	96.3%
National Bank	L. Ferreira	1,112	2,308	6,923	2,308	12,650	4,314[2]	105.5%	95.9%
CIBC	V. Dodig	1,000	3,119	9,980	2,495	16,594	8,487	115.0%	95.6%
Peer median		**1,132**	**2,995**	**7,762**	**2,402**	**14,560**			

[1] CEO from February 1, 2025 (9 months). [2] Adjusted net income attributable to shareholders. Peer median of each column calculated independently; bank factor = final bank-level performance factor (RBC non-formulaic).

Source: Company 2026 management proxy circulars (FY2025 data) and 2026 voting results; author analysis. All amounts CAD.

APPENDIX A2

Definitions, Data Treatment and Validation

Definitions

Actual TDC: Salary + annual incentive + share-based awards + option-based awards from the Summary Compensation Table; excludes pension and other compensation.

Bank factor: Bank-level performance factor used in annual incentive decisions; differs from each CEO's individual award-to-target ratio.

Pay per $1B: Actual TDC ($000) ÷ FY2025 adjusted net income ($B).

Data Treatment

TD: CEO appointed February 1, 2025; year-over-year comparison not meaningful.

RBC: FY2024 included a $4.0M special award; year-over-year change presented both with and without the award.

BMO: Target TDC increased to $15.0M effective May 1, 2025.

National Bank: Uses adjusted net income attributable to shareholders.

CIBC: Victor Dodig served throughout FY2025; succeeded November 1, 2025.

Validation

175 data points in the verification log cross-checked against the model inputs; one stale log entry (CIBC PSU payout minimum) corrected to 75%.

FY2025 and FY2024 Summary Compensation Table components reconciled to disclosed totals within rounding.

Sources

2026 management proxy circulars: RBC, TD, Scotiabank, BMO, National Bank and CIBC.

2026 annual meeting voting results for all six banks.

Laulima Consulting, TSX60 Research – Executive Pay Insights (June 2026).

Source: Company 2026 management proxy circulars (FY2025 data) and 2026 voting results; author analysis. All amounts CAD.